MAHATMA GANDHI UNIVERSITY, KOTTAYAM

MGU-UGP (HONOURS) REGULAR EXAMINATION NOVEMBER 2024

First Semester

MG1MDCECO100 – Economics and Finance in Everyday Life

(2024 Admission Onwards)

Part A

Short Answer Type Questions.

Answer 10 questions and each question carries 2 marks.

1. Financial metric that compares a company's stock price to its earnings per share- used by investors to determine a stock's potential for growth.

   Price-earnings ratio =current stock price/earnings per share.

   (Hint: Give maximum marks for the correct explanation of the concept)

2. The debt-to-equity ratio (D/E ratio) depicts how much debt a company has compared to its assets.

   Debt-to-equity ratio =total liabilities / total shareholders' equity

   (Hint: Give maximum marks for the correct definition of the D/E ratio)

3. Payment history, Amount owed, length of credit history, new credit, credit mix, credit report etc
4. The practice of spreading investments across different assets to reduce risk. Goal- to have a more consistent overall return by offsetting the poor performance of one investment with the better performance of another.
5. Saving - safety net and a way to achieve short-term goals, while investing has the potential for higher long-term returns and can help achieve long-term financial goals. Saving offers low risk and quick access to funds compared to investment.
6. The rate of inflation represents how quickly investments lose their real value and how quickly prices increase over time. Inflation reduces real returns on fixed income investments such as corporate or municipal bonds, treasuries and CDs. **Value Liberally**
7. Rational decision-making is a method for making choices that uses logic and objectivity instead of intuition and subjectivity. Features- Objective and unbiased, consider future

consequences, evaluate alternatives, address risk and uncertainty, seek to optimize utility, agree with preferences and beliefs, logical consistency.

8. Economics is about scarcity and choice. Because of scarcity rational choice must be made to make the best use of limited resources. Due to limited resources the nation required to prioritize the health care services over entertainment.
9. Price of the product, profit motive, welfare maximization, less work and more leisure motive, cost benefit analysis, marginal analysis, time preferences, risk and uncertainty.
10. Neuroeconomics studies how the brain makes economic decisions. Methods- Combining disciplines, Functional neuro imaging, Electrophysiology, Behavioral genetics, Cognitive genomics, Experimental procedures, Social cognitive neuroscience, Economic theory. **Value Liberally** (Hint: Give maximum marks for the correct explanation of neuro economics. Methods not directly mentioned in the syllabus)
11. Altruism is the selfless concern for the well being of others. Altruism is a foundation of society's existence and performance. It can be seen in families, the political and public sector, and in charity. (Hint: Give maximum marks for the correct explanation)
12. Income, social support, healthy life expectancy, freedom to make life choices, generosity, trust and social capital, positive emotions, work life balance, leisure time, quality of work, environment, relationship. (Hint: Give 2 marks for at least 4 points)
13. An unplanned decision by a consumer to buy a product or service, made just before a purchase.
14. Inability to stop using a substance or engaging in a behaviour even though it may cause psychological or physical harm.
15. Prospect theory also known as loss aversion theory assumes that if two choices are put before an individual, both equal, with one presented in terms of potential gains and the other in terms of potential losses, the former option will be chosen. (Hint: Give maximum marks for the correct explanation of prospect theory)

Part B

Short Essay Questions

Answer 6 questions each question carries 5 marks

16. To know the purpose of account, verify the identity of authorize signatories and beneficial owners, verity the legal status of non- individual customers, Preventing financial crime, Protecting financial institutions, Understanding customers, Meeting international standards.

17. Financial planning - process that helps in managing financial resources to achieve long-term or short-term goals. It helps in assessing current financial situation, establishing financial goals and risk appetite, and devising a strategy to achieve those goals. Financial plans and budgets brings benefits like smoother transition into different life stages, staying prepared for

emergencies, better tax planning, debt management, risk management, developing financial goals etc.

18. Supply and demand of money, credit risk, monetary policy, inflation, economic growth, market conditions etc. **Value Liberally**

19. Cost of a foregone alternative- key concept in financial decision-making- It helps to evaluate investment alternatives, allocate resources, reduce risk, make better choices and align with goals.

20. The certainty effect is a psychological phenomenon that describes how people tend to be more confident in outcomes that are certain, as opposed to outcomes that are less certain. It is a behavioral model that is part of prospect theory, a theory that emphasizes how people prefer small, guaranteed outcomes over larger, riskier outcomes. **Value Liberally** (Hint: Give maximum marks for the correct explanation of prospect theory)

21. An unplanned decision by a consumer to buy a product or service, made just before a purchase. A budget brings awareness to spending patterns, helping to identify areas of overspending or impulse purchases and set clear boundaries on spending. By allocating specific amount for each category it limit the possibility of impulse buying.

22. Phishing - practice of sending fraudulent communications that appear to come from legitimate and reputable source, usually through email and text messaging. Spear phishing - type of phishing attack that targets a specific individual, group or organization. Measures to reduce the risk of phishing- Be cautious with emails, use multi factor authentication, use security software, use strong passwords, keep software and operating system up to date. (Hint: Give minimum 2 marks for correct explanation the concept).

23. Ponzi schemes and money chains are fraudulent investment schemes that pose many risks to investors including financial losses, legal consequences, no exit option, false sense of security, difficulty receiving payment, disappearing operators etc (Hint: Give maximum marks if the student correctly stated the concept of ponzi scheme and money chain)

24. Situation where one party has more information than the other party- people with inadequate information face with losses- example: used car market- market for lemons- lead to adverse selection and moral hazard, monopolies of knowledge. **Value Liberally**

25. People opt bond, if they prioritize security over the possibility of higher returns. The opportunity cost here is the additional income that could have been earned with the more volatile equity option. (Hint: Give minimum 2 marks for explaining the concept of opportunity cost). **Value liberally**